



Let's rethink aging.

HOMEBUYERS EDUCATION

Home Insurance Basics & Home Maintenance



Home Insurance At A Glance

What is homeowner's insurance?

- ☐ It is a policy that covers residential buildings.
- ☐ Covers all your personal belongings inside of the home in the event of theft or disaster.
- ☐ Protects the homeowners from liability.

Why purchase homeowner's insurance:

- ☐ The mortgage lender needs to know the home is protected
- ☐ Liability protection
- ☐ Way to rebuild or repair their home after destruction by a covered cause like a fire
- ☐ Financial means to replace belongings if destroyed or stolen

Home Insurance Coverage

Your Homeowner's Insurance should cover:

- ☐ Physical damage to your house and other structures on your property
- ☐ Damage to your belongings
- ☐ Additional living expenses if you have to live somewhere else while your home is repaired
- ☐ Personal liability and medical expenses in case you are liable for an accident or injury on your property



What is Homeowner's Insurance Premium?

- ☐ The amount of money you pay every year to keep your insurance policy active.
- ☐ Your premium can also be added to your mortgage payments if you have one.
- ☐ When you purchase a new home insurance policy, the insurance company will look at a variety of factors to calculate your premium





What Factors affect Home Insurance Costs?

- ☐ Where you live.
- ☐ The **price** of your home and the cost to rebuild it.
- ☐ The amount of coverage.
- ☐ Your home's **age** and condition.
- ☐ Home security and safety features.
- ☐ Your credit history.
- ☐ Additional types of coverage.
- ☐ Your **deductible**.

Perils

- ❑ A peril is any event, situation, or incident that causes property damage or loss.
- ❑ Fire, theft, wind, and vandalism are common perils that homeowner's insurance can cover.
- ❑ It's important to understand which perils your policy covers so you know when you can count on your insurance to pick up the repair.

Perils Covered

There are 16 Named Perils

1. Windstorm or hail
2. Fire / lightning
3. Explosion
4. Smoke
5. Damage caused by aircraft
6. Damage caused by other vehicles
7. Damage caused by riot or civil unrest

Perils Covered



There are 16 Named Perils

- 8. Damage cause by vandalism or mischief
- 9. Theft
- 10. Falling object
- 11. Volcanic eruption
- 12. Weight of ice or snow

Perils Covered

There are 16 Named Perils

13. Sudden and accidental tearing apart, cracking, burning, or bulging of a steam or hot water heating system

14. Accidental discharge/ overflow of water from plumbing, etc.

Perils Covered

There are 16 Named Perils

15. Freezing of plumbing, heating, air conditioning, or automatic fire-protective sprinkler system, etc

16. Sudden and accidental damage from artificially generated electrical current



Actual
Cash Value

VS



Replacement
Cost

The Difference

- ❑ Replacement cost insurance pays for the full replacement cost of your items.
- ❑ Actual cash value insurance only pays for the depreciated value.
- ❑ With replacement cost insurance, you'll have enough money to replace your belongings.

How Should I keep track of my personal property?



- Make an inventory of all household items
- Keep receipts for appliances, cameras, computers and other valuables
- It helps to have pictures or videotape of personal belongings and the property
- Put the lists and pictures in a safe place, away from your house

When Do I Need to Get Homeowners Insurance?



- It's a good idea to start shopping for homeowners insurance as soon as you sign a contract to buy a home. This allows you to shop around for quotes and gives you time to get your policy in place before closing on the purchase.

What protects me if my dog bites someone?



- If the victim sues, the insurance company will represent you and pay damages up to the policy limit.
- Be aware: if you own a “vicious” dog (as defined by Ohio law), you are required to carry at least \$100,000 liability coverage on your homeowner policy

How can I reduce my premium?



- The simplest way to lower your rate is to increase the deductible, but be sure it is a level you can afford in the event of a loss.
- You may also qualify for discounts for such things as home alarm systems, insuring both your home and car with the same company, insuring a new house and/or having a history of not filing claim.

Can I get additional coverage?

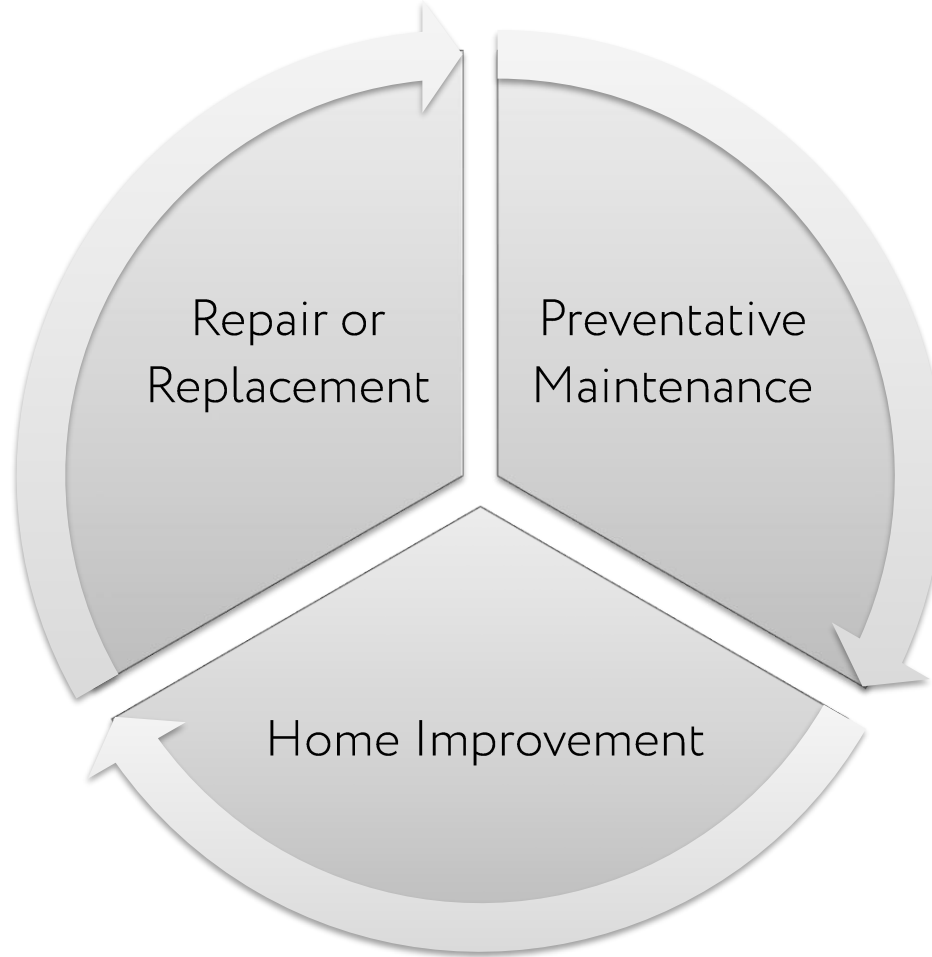


- You can purchase additional optional coverage if you need to fill in a gap in your policy's covered events.
- If you have specific personal property items that are very high-value—such as certain jewelry pieces or artwork—those items may not be covered under your standard policy. You would need to purchase additional coverage.
- These additions, of course, will increase your insurance premiums

I Bought a
House!
Now What?



The Cycle of Home Maintenance



Every Homeowner Needs a Toolkit!

- ☐ Phillips screwdriver
- ☐ Flathead screwdriver
- ☐ Tape measure
- ☐ Pliers
- ☐ Utility knife
- ☐ Hammer
- ☐ Putty knife
- ☐ Stud finder
- ☐ Combination square
- ☐ Adjustable crescent wrench
- ☐ Wire stripper
- ☐ Allen wrenches
- ☐ Power drill
- ☐ Extension cord
- ☐ C-clamp
- ☐ Flashlight
- ☐ Ladder
- ☐ Pipe Cutter
- ☐ Outlet testers



A toilet or hot water
heater (plumbing system)



Fuse breaker box
(electrical system)



Repair
or
Replace

Leaky roof (structural
system)

Preventative Maintenance Starts Here!



- ☐ Keeping the exterior of your home free from trees/bushes that can cause damage to your roof or exterior walls.
- ☐ Cleaning coils of your refrigerator/freezer & changing
- ☐ Address leaks, clogs, or drips in pipes and appliances
- ☐ Installing or upgrading smoke detectors, carbon monoxide detectors, and fire extinguishers

Preventative Maintenance Starts Here!



Tax Abatement

What is a Tax Abatement?

An exemption or reduction in property taxes owed for developers, and low to moderate income homebuyers to incentivize home improvement and development within a community.

Ask your real estate agent about tax abatement incentives available in the city where you would like to buy your home!

This may save you \$\$\$ substantially in taxes!



Home Improvements that can increase Your Home's Value:

- ☐ Add additional living area
- ☐ Install new additional bathroom or toilet
- ☐ Add new porch
- ☐ Install stall shower
- ☐ Finish attic, second floor or bedroom with paneling, plaster, or plasterboard
- ☐ Build new or enlarged garage



Questions to Ask Before You Begin



Do you Have the right
tool for the job?



Is it Safe?



Have you gathered
information?



Make the plan

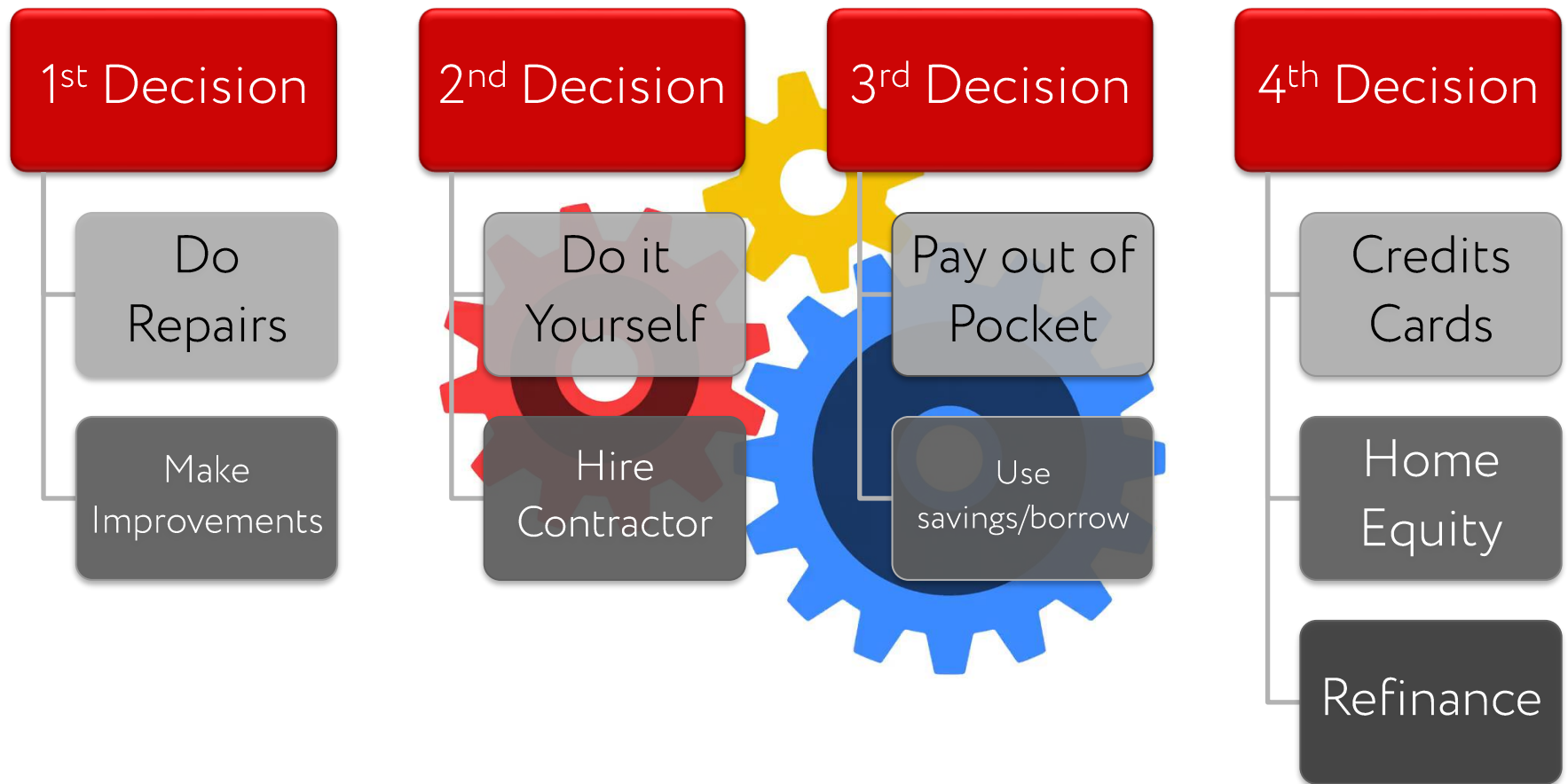


Timing is
everything!!

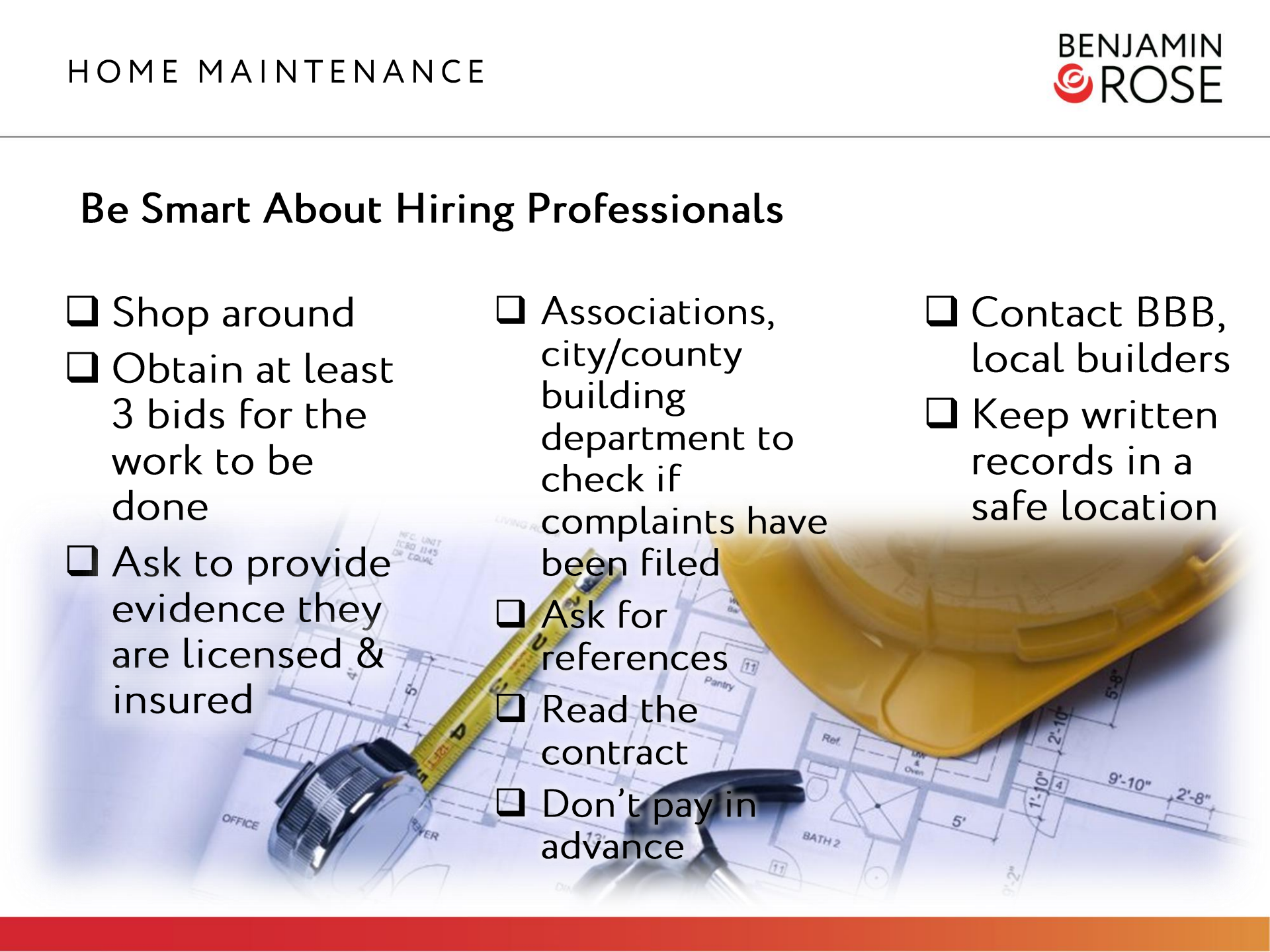
Maintenance performed regularly
can help maximize the lifespan of
your home and its systems.



Decision that Homeowners Must Make



Be Smart About Hiring Professionals

- 
- ☐ Shop around
 - ☐ Obtain at least 3 bids for the work to be done
 - ☐ Ask to provide evidence they are licensed & insured
 - ☐ Associations, city/county building department to check if complaints have been filed
 - ☐ Ask for references
 - ☐ Read the contract
 - ☐ Don't pay in advance
 - ☐ Contact BBB, local builders
 - ☐ Keep written records in a safe location

The Three “Energy Hogs”



Air-conditioning / heating unit



Refrigerator / freezer



Water heater

EnergyStar



- ☐ Administered by the EPA
- ☐ Tax Incentives are available
- ☐ Home Energy Improvement Credit
upto \$3200
- ☐ Rebates are available
- ☐ Why choose to be energy efficient?
 - ☐ Hot and Cold Spots
 - ☐ Bugs/Pests
 - ☐ Mold
 - ☐ Lowered Utility Bills
 - ☐ Health (Sinus and Respiratory Issues)

Saving by (\$) by “Going Green”



- ☐ Weatherization
- ☐ Using low-flow faucet & toilets
- ☐ Use LED Light bulbs (produce less heat, last longer)
- ☐ Don't clutter fridge top; it can hamper compressor's air circulation
- ☐ Check the door seals
- ☐ Don't put refrigerator in direct sunlight or next to an oven or dishwasher

Strategies to reduce energy use & utility costs

- ☐ Install a programmable thermostat
- ☐ Apply weather stripping around doors and windows
- ☐ Install ceiling fans in rooms where you spend a lot of time
- ☐ Insert outlet pads on the backside of all electrical light switches
- ☐ Change out unit filters regularly.

Strategies to reduce energy use & utility costs

- ☐ Purchase Energy Star rated appliances
- ☐ Select top-freezer models
- ☐ Don't keep your fridge too cold
- ☐ Clean coils annually
- ☐ Keep freezer filled
- ☐ Fix leaks
- ☐ Install low-flow fixtures
- ☐ Lower water heating temperature to 120 degrees
- ☐ Insulate water tank and hot water pipes



Questions?